

MASTER OF BUSINESS ADMINISTRATION

SEMESTER 1



**PRINCIPLES OF MANAGEMENT AND
ORGANISATIONAL BEHAVIOUR**

Unit 1

**Introduction to Management and
Management Process**

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1. INTRODUCTION

Management existed in organised life long before it was formally named in textbooks. Whenever people work towards a shared purpose, resources must be allocated, roles defined, decisions made, effort coordinated, and results reviewed. Thus, management is not limited to large corporations but is a disciplined social process that makes collective action possible.

The importance of management has increased as organisations have become more specialised, interconnected, and accountable. Since modern institutions depend on coordinated functions and constant adaptation to external conditions, poor management leads to delay, duplication, and conflict, while sound management brings direction, coordination, and better outcomes.

This unit provides the conceptual foundation for studying management. It introduces management and its importance, traces the evolution of management thought, examines the principles of management, explains management as a set of interrelated functions, and concludes with a systems view of the organisation.

The discussion is analytical rather than merely definitional. By linking concepts with Indian organisational examples, the unit presents management not as a simple idea of efficiency, but as a field concerned with purpose, coordination, judgement, structure, adaptation, and responsible resource use.

1.1 Learning Objectives

After completing this unit, you will be able to:

- **Explain** the meaning and importance of management in organised activity in relation to collective goal achievement, coordination, and resource use.
- **Analyse** the evolution of management thought and the principal contributions of the classical, behavioural, and systems perspectives.
- **Assess** the principles of management in terms of their relevance and limitations in contemporary organisational contexts.



- **Examine** management as a process through the interdependence of planning, organising, staffing, directing, and controlling functions.
- **Illustrate** a systems view of management by linking inputs, processes, outputs, feedback, and environment to organisational performance.



2. INTRODUCTION TO MANAGEMENT AND THE IMPORTANCE OF MANAGEMENT

Management is best approached first as a practical necessity. Organisations do not become purposeful merely because people are present, money has been allocated, or machinery has been installed. Purpose becomes operational only when work is planned, resources are combined intelligently, authority is exercised with judgment, and results are reviewed in relation to objectives. Management is the integrating force that makes these separate elements work in concert rather than in isolation. Management is therefore both a means of producing results and a discipline of making organised life workable under conditions of complexity, interdependence, and change.

From the introduction, we can realise that management has been happening right through the history of man, and it is all about making things smooth, or shall we say efficient. It is also about achieving our goals, which in modern management literature we call 'effectiveness.'

According to Harold Koontz, "Management is an art of getting things done through and with people in formally organised groups. It is an art of creating an environment in which people can perform as individuals and can cooperate towards the attainment of group goals." According to F.W. Taylor, "Management is an art of knowing what to do when to do it and seeing that it is done in the best and cheapest way."

Let us modify the definition of Harold Koontz and define management as 'the process of designing and maintaining an environment in which the individuals working in groups efficiently employ resources and accomplish the selected goals of self and the organisation.' This definition brings to the fore the following key issues of management:

- It is about people and other resources
- There are goals, but the goals of the individual and the organisation have to be managed
- It involves creating an environment where people and resources interact to produce the goals.

2.1 Meaning and scope of management

Management is the process of coordinating people and resources to achieve objectives effectively and efficiently. Effectiveness means achieving the desired results, while efficiency means using

time, money, effort, materials, and human capability wisely. Good management, therefore, is concerned with both achieving goals and using resources prudently.

Its scope extends far beyond supervision. Management involves deciding objectives, arranging resources, enabling people to perform, guiding action, and reviewing results. This is why it is needed in all organised settings, including schools, hospitals, factories, banks, and public institutions.

Management is also relational in nature. It connects people with technology, information, finance, materials, and time within institutional limits. As a result, it is at once economic, social, and behavioural. A manager must balance resources, human effort, communication, and performance in order to make an organised activity productive.

Thinkers such as Taylor, Koontz, and Drucker highlighted different dimensions of management, but all point to the same idea: management is a continuous process of creating conditions in which collective effort becomes purposeful, coordinated, and productive. It is not mere command or ownership, but the organised conversion of intention into action.

Figure 3.1 Management as an Integrating Process

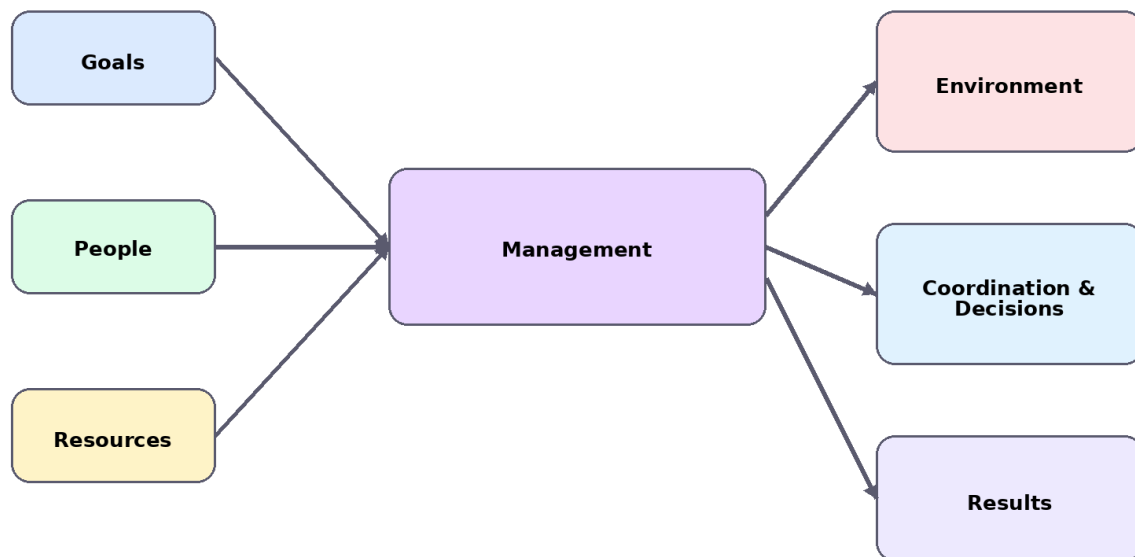


Figure 2.1: Management as an Integrating Process

Source: Self

Figure 2.1 shows management as the central integrating activity through which goals, people, resources, environmental conditions, and decisions are brought into purposeful relationship.

- Goals indicate the direction that gives meaning to organised effort and allows priorities to be set.
- People represent the human capability through which plans are interpreted, cooperation is built, and work is carried out.
- Resources include time, money, materials, technology, and information that must be used prudently rather than wastefully.
- The central management box emphasises that coordination, judgement, and purposeful arrangement hold these elements together.
- Environment reminds us that management never operates in a vacuum; regulation, competition, technology, and social expectations continuously affect internal choices.
- Coordination and decisions show that management is an active process of aligning work, resolving trade-offs, and choosing courses of action.
- Results are the outputs of organised effort, such as quality, service, learning, revenue, impact, or social value.
- For example, an urban hospital can improve emergency care only when managerial decisions connect clinical staff, beds, medicines, equipment, patient flow, and external health regulations coherently.

2.2 Importance of management

Management is important because it prevents fragmentation and creates value. Without it, people may work hard but fail to move towards a common objective. Tasks may be duplicated, decisions delayed, responsibility blurred, and resources wasted. Management brings order, direction, and coherence to collective effort.

Its first major contribution is goal achievement. Organisations exist for specific purposes, and management aligns activities with those purposes. It clarifies objectives, translates them into plans, assigns responsibility, and monitors progress. In this way, management ensures that diverse activities work together towards desired results.

A second contribution is the optimum use of resources. Since capital, time, talent, and attention are always limited, management helps reduce waste and improve productivity. This does not simply mean cutting costs, but using resources in a balanced way so that quality, timeliness, and sustainability are maintained.

Management is also vital for coordination. Modern organisations consist of specialised functions such as finance, marketing, operations, and human resources. These units depend on one another, and management links them so that specialisation does not turn into isolation or confusion.

Another important role of management is adaptation. Organisations operate in changing environments shaped by regulation, technology, customer expectations, and social values. Management helps them adjust to such changes while maintaining direction, continuity, and reliability.

Management also supports stability and continuity. Clear roles, defined processes, and institutional memory reduce dependence on particular individuals. As a result, well-managed organisations can handle staff changes, market shocks, and disruptions more effectively than loosely organised ones.

Finally, management has social significance. Well-managed organisations create employment, provide useful goods and services, and make better use of scarce resources. Poor management, on the other hand, can harm workers, consumers, investors, and communities.

Table 2.1: Importance of Management in Organisational Practice

Source: Self

Managerial contribution	What it enables	Illustrative organisational context
Goal achievement	Aligns effort with shared objectives and priorities	Coordinating marketing, production, and dispatch during a product launch
Resource utilisation	Reduces avoidable waste and improves the use of money, time, and capacity	Hospital bed allocation and staff deployment during peak demand

Coordination	Links specialised departments and reduces duplication or conflict	Synchronising procurement, production, and sales in a manufacturing unit
Adaptation	Helps the organisation respond to environmental change and uncertainty	Revising retail strategy in response to digital demand patterns
Continuity and accountability	Creates stable processes, role clarity, and institutional memory	Branch operations that continue smoothly despite transfers or turnover

Table 2.1 shows that management is valuable not because it performs one narrow task, but because it links direction, discipline, coordination, and adaptation in a single institutional logic.

2.3 Management in contemporary Indian settings

The importance of management is therefore not confined to scale or sector. It appears wherever collective purpose meets practical constraint. That is why management is studied as a foundational discipline rather than as a narrow operational technique.

SELF-ASSESSMENT QUESTIONS – 1

Multiple Choice Questions	
1	Management is best understood as: a) ownership of all organisational assets b) the process of coordinating people and resources to achieve objectives c) only the supervision of factory workers d) a function relevant only in private business
2	Which statement most clearly reflects the importance of management? a) It eliminates uncertainty permanently b) It replaces technology in all operations c) It aligns effort, resources, and direction for organisational performance d) It removes the need for delegation
Fill in the blanks	
3	The prudent use of resources in relation to results is called _____.
4	Management helps transform individual effort into organised _____ action.

True or False

5 Management is relevant only in profit-making organisations.



3. EVOLUTION OF MANAGEMENT THOUGHT

Management thought did not emerge in finished form. It developed as thinkers and practitioners responded to the problems created by industrial growth, administrative complexity, labour relations, and changing views of human behaviour. Each school of thought highlighted a different aspect of organised activity, corrected the excesses of earlier approaches, and left concepts that still influence practice. Seen in this way, management theory is cumulative: later approaches rarely erase earlier ones completely, but reinterpret and reposition them.

3.1 Historical background and need for management thought

The formal study of management expanded rapidly in the late nineteenth and early twentieth centuries, when industrial enterprises became too large and complex to rely on intuition alone. Factories employed hundreds or thousands of workers, machinery had to be used intensively, materials had to move in sequence, and owners could no longer personally supervise every activity. Questions that had once seemed practical and local acquired wider significance: How should work be divided? What is the best way to coordinate labour and machines? How should authority be structured? How can output be increased without chaos?

Although organised administration is much older than industrial capitalism, the industrial era gave management thought a distinct form. Ancient statecraft, mercantile systems, religious institutions, and military structures all contained managerial ideas. In the Indian tradition, Kautilya's Arthashastra offered insights into governance, discipline, incentives, surveillance, and administrative prudence. Yet management as a modern field developed when industrial production, transport, and large-scale enterprise demanded systematic analysis of organisation and work.

Management thought evolved because no single viewpoint adequately explained all managerial problems. Early thinkers concentrated on efficiency, structure, and authority. Later scholars asked why workers responded differently from what mechanical models predicted. Still later, attention shifted to systems, environment, contingency, knowledge, and continuous improvement. The history of management thought is therefore not a museum of obsolete theories. It is a record of successive attempts to understand how organised effort can be made more productive, humane, and adaptive.

3.2 The classical school: scientific and administrative management

The classical school aimed to bring order, efficiency, and rational structure to industrial operations that were often wasteful and poorly coordinated. Its two most influential branches were scientific management and administrative management.

Scientific management is closely associated with F. W. Taylor. He argued that industrial work should be studied scientifically instead of relying on rule-of-thumb methods. His approach emphasised standardising tasks, selecting and training workers scientifically, promoting cooperation, and dividing responsibility more logically between managers and workers. This led to developments such as time study, motion study, standardisation, and incentive systems.

Scientific management made an important contribution by stressing productivity, measurement, training, and the managerial responsibility to design work systematically. However, it had limitations. It often views workers too narrowly in economic terms, neglects informal relationships, and can become rigid or dehumanising if applied without balance.

Administrative management, especially associated with Henri Fayol, shifted attention from shop-floor efficiency to broader administrative problems. Fayol identified management as a distinct function involving planning, organising, commanding, coordinating, and controlling. He also proposed fourteen principles of management, making management applicable across different types of organisations rather than only factories.

Max Weber's bureaucratic analysis also belongs to the classical tradition. He stressed rational-legal authority, clearly defined roles, rules, hierarchy, and impersonal administration as the basis of large organisations. His model explained why bureaucracy could be predictable and efficient, though it also highlighted the dangers of rigidity, formalism, and excessive dependence on rules.

The classical school remains important because organisations still require role clarity, standardisation, disciplined processes, and structured authority. Its weakness lies not in its concern for order, but in the risk of treating management too mechanically while neglecting human and environmental complexity.

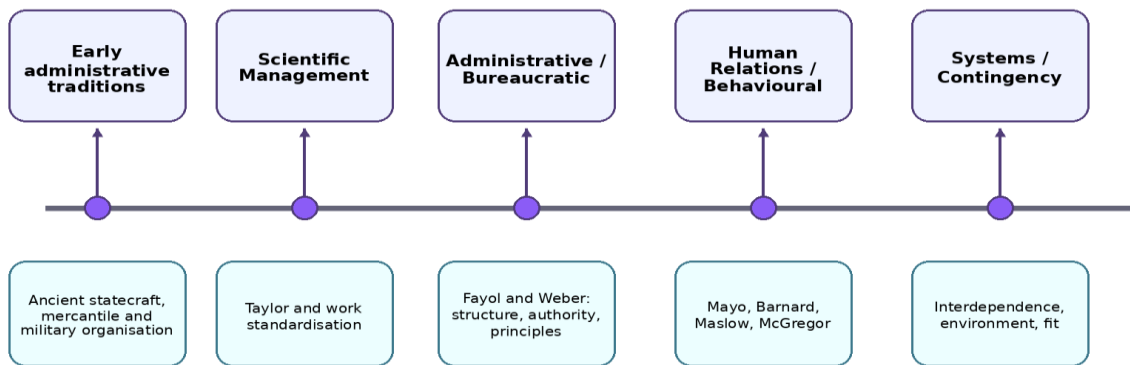
Figure 4.1 Evolution of Management Thought**Figure 3.1: Evolution of Management Thought****Source: Self**

Figure 3.1 traces the broad movement of management thought from early administrative traditions to the systems and contingency perspectives that inform present-day practice.

- The early administrative traditions remind us that managerial ideas predate modern industry, even though the field became formalised later.
- Scientific management focuses attention on analysis of work, standardisation, training, and productivity.
- Administrative and bureaucratic thought moves the discussion from shop-floor methods to organisational structure, authority, and principles of administration.
- Human relations and behavioural perspectives show that morale, informal groups, leadership, and motivation affect performance significantly.
- Systems and contingency thinking broaden analysis to interdependence, environment, and the fit between managerial method and situation.

Table 3.1: Broad Comparison of Major Schools of Management Thought**Source: Self**

School	Primary concern	Representative thinkers	Main contribution	Typical limitation
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Scientific management	Work efficiency and standardisation	F. W. Taylor	Measurement, method study, productivity focus	Can treat human behaviour too narrowly
Administrative management	Functions, structure, and principles	Henri Fayol	General framework for managerial process and principles	May be applied too rigidly
Bureaucratic approach	Rational authority and rule-governed administration	Max Weber	Role clarity, predictability, procedural order	Risk of red tape and excessive formalism
Human relations / behavioural	Motivation, morale, informal groups, leadership	Mayo, Barnard, Maslow, McGregor	Human-centred understanding of work and cooperation	May understate structural and economic constraints
Systems/contingency	Interdependence, environment, and situational fit	Systems and contingency theorists	Holistic diagnosis and contextual judgement	May offer less simplicity than universal rules

Table 3.1 highlights that each school solved a real managerial problem while also leaving questions for later theories to address.

3.3 Human relations and behavioural perspectives

By the early twentieth century, it had become clear that productivity could not be explained by physical conditions, pay systems, and formal structure alone. Workers did not respond as though they were merely extensions of machinery. Informal group norms, morale, leadership style, communication, recognition, and perceived fairness all mattered. This shift in attention gave rise to the human relations and behavioural perspectives.

Mary Parker Follett contributed a particularly sophisticated human-centred view. She emphasised coordination through direct contact, the integration of interests rather than domination, and the idea that authority should arise from the demands of the situation rather than from status alone. Chester Barnard deepened this line of thinking by presenting organisations as cooperative systems sustained by willingness to contribute, communication, and executive responsibility.

The human relations and behavioural perspectives corrected an important imbalance in classical thought. Their contribution was to show that organisations are social systems, not merely technical arrangements. Their limitation, when taken too far, lies in assuming that good relations alone are sufficient. Management still requires standards, design, accountability, and economic realism. The enduring lesson is balance rather than replacement.

3.4 Systems and contingency perspectives

The systems perspective widened the lens still further. Instead of examining isolated tasks or individual motivation alone, it treated the organisation as a whole composed of interrelated parts. A decision in procurement affects production; production affects inventory and service; service quality affects reputation; reputation influences demand; demand reshapes planning and staffing. Under this view, managerial problems cannot be understood adequately if each department is treated as a self-contained island.

Systems thinking also highlighted the relation between organisation and environment. Organisations draw inputs from the outside world, transform them through internal processes, produce outputs, receive feedback, and adapt in response to changing conditions. This made management more dynamic and less inward-looking. The approach is especially valuable in contemporary settings where supply chains, regulation, technology, data flows, and customer expectations are tightly interlinked.

The contingency perspective pushed the argument further by rejecting universal managerial formulas. It is proposed that the appropriateness of a managerial practice depends on the situation. A structure effective in a stable manufacturing environment may fail in a volatile digital business. Centralised decision-making may be necessary in a crisis, but restrictive in routine knowledge work. Effective management thus depends on the fit between method and context.

The systems and contingency perspectives did not abolish earlier insights; they reorganised them. Efficiency still matters, human relations still matter, and administrative principles still matter, but their application depends on how the whole organisational situation is understood.

3.5 Contemporary synthesis and relevance

Contemporary management practice draws selectively from all major schools rather than subscribing rigidly to one. Lean systems and continuous improvement echo scientific

management's concern for process discipline, though usually with stronger participative elements. Strategy and organisational design draw on administrative and systems thinking. Leadership development, culture building, and talent management are deeply influenced by behavioural insights. Digital dashboards, analytics, and algorithmic workflows renew the classical interest in measurement, while environmental uncertainty keeps contingency thinking central.

SELF-ASSESSMENT QUESTIONS – 2

Multiple Choice Questions	
6	Scientific management is most strongly associated with: a) Elton Mayo b) Henri Fayol c) F. W. Taylor d) Chester Barnard
7	The human relations perspective highlighted the importance of: a) only machine speed b) informal groups, morale, and social factors c) eliminating communication d) abolishing managerial authority
Fill in the blanks	
8	Fayol is chiefly associated with _____ management.
9	The perspective that treats the organisation as an interconnected whole is the _____ approach.
True or False	
10	Contingency thinking assumes that one best method applies to all situations.

4. PRINCIPLES OF MANAGEMENT

Principles of management are broad guides to managerial judgment. They are not rigid laws comparable to physical science, nor are they casual tips. Their value lies in offering tested lines of reasoning that help managers interpret situations, avoid avoidable disorder, and exercise judgment with greater consistency. Among the early contributors, Henri Fayol remains especially influential because he formulated a coherent set of principles from administrative experience.

4.1 Nature and significance of managerial principles

Principles are general statements derived from observation, experience, and reflection on recurring organisational problems. They do not dictate a single mechanical response. Rather, they indicate what usually promotes coordination, order, fairness, and effectiveness. The principle of unity of command, for example, does not imply that every contemporary structure must be perfectly vertical; instead, it warns against ambiguity in reporting and accountability. The principle of division of work does not glorify narrow fragmentation; it highlights the productivity gains that come from specialisation when tasks are sensibly grouped.

The significance of managerial principles lies in their practical usefulness. They support administrative training by converting scattered experience into conceptual guidance. They help managers analyse situations, compare alternatives, and anticipate consequences. Principles also create a common language for discussing organisational problems. When managers refer to authority, discipline, scalar chain, or unity of direction, they are drawing on a shared framework that improves clarity in diagnosis and discussion.

At the same time, principles should not be treated as unbending commandments. Organisational life is too varied for that. Their value increases when they are interpreted intelligently in context. A principle is most useful when it sharpens judgment rather than replacing it.

Features of Management Principles:

Management principles possess certain distinctive characteristics that define their nature and application in organisational settings.

- **Universality**

These principles are applicable to all types of organisations, regardless of their size, nature, or

industry. Whether in business enterprises, government institutions, or non-profit organisations, managerial principles provide a common framework for action.

- **Flexibility**

Management principles are not rigid rules but adaptable guidelines. Managers are expected to apply them according to the specific needs and circumstances of the organisation. Their effectiveness depends on how intelligently they are interpreted and used.

- **Cause-and-effect relationship**

These principles establish a logical relationship between managerial actions and their outcomes. For instance, the degree of **decentralisation** in an organisation can influence the level of **initiative** shown by employees. Such relationships help managers predict outcomes and make informed decisions.

- **Behavioural orientation**

Management principles aim to influence human behaviour within organisations. By providing structured guidance, they help reduce unpredictability in employee actions and promote consistency in achieving organisational objectives.

- **Equal importance**

All principles are interrelated and equally significant. Ignoring one principle may weaken the effectiveness of others, as they function together as an integrated system.

4.2 Fayol's fourteen principles

Fayol's fourteen principles continue to be discussed because they capture recurrent administrative concerns in a remarkably concise form.

1. **Division of work** suggests that specialisation improves efficiency and skill by allowing attention to be focused. In contemporary organisations, this is visible in functional departments, professional roles, and technical expertise. Yet specialisation must be balanced with coordination, otherwise narrow expertise produces fragmentation.
2. **Authority and responsibility** indicate that the right to issue instructions must be matched by accountability for results. Authority without responsibility invites arbitrariness; responsibility without authority produces frustration.
3. **Discipline** refers to respect for agreements, rules, and standards necessary for orderly functioning. It is sustained not merely by punishment but by clarity, fairness, and consistency.

4. **Unity of command** proposes that an individual should ordinarily receive direction from one superior. The principle protects clarity and reduces conflict, even though matrix and project structures sometimes qualify its application.
5. **Unity of direction** means that activities with the same objective should be guided by one plan and one head. It draws attention to coherence at the level of purpose, not merely to obedience.
6. **Subordination of individual interest** to general interest reminds managers that collective objectives must not be sacrificed to narrow personal preference. This principle remains highly relevant where silo behaviour, departmental politics, or executive ego weaken organisational purpose.
7. **Remuneration** suggests that compensation should be fair and sufficient to maintain commitment while remaining viable for the organisation. The principle invites balance rather than simplistic generosity or cost-cutting.
8. **Centralisation** concerns the degree to which decision authority is concentrated. Fayol did not argue for an absolute formula; he treated centralisation as a matter of proportion and judgement.
9. **Scalar chain** refers to the line of authority from top to bottom. It gives administrative order, though practical communication may sometimes require lateral contact where speed is essential.
10. **Order** implies that both material arrangement and human placement should be appropriate. The right resource in the right place reduces confusion and waste.
11. **Equity** combines justice with kindness. Fayol recognised that managerial authority becomes more effective when it is exercised fairly rather than harshly.
12. **Stability** of tenure highlights the organisational cost of excessive turnover. Institutions perform better when people remain long enough to develop competence and continuity.
13. **Initiative** values the willingness of employees to think, propose, and act constructively within organisational aims. It is a reminder that good management does not suppress energy; it channels it.
14. **Esprit de corps** refers to team spirit, solidarity, and unity. It recognises that morale and mutual confidence strengthen coordinated effort.

Taken together, these principles offer a balanced view of management: structure with fairness, authority with responsibility, discipline with initiative, and order with human cohesion.

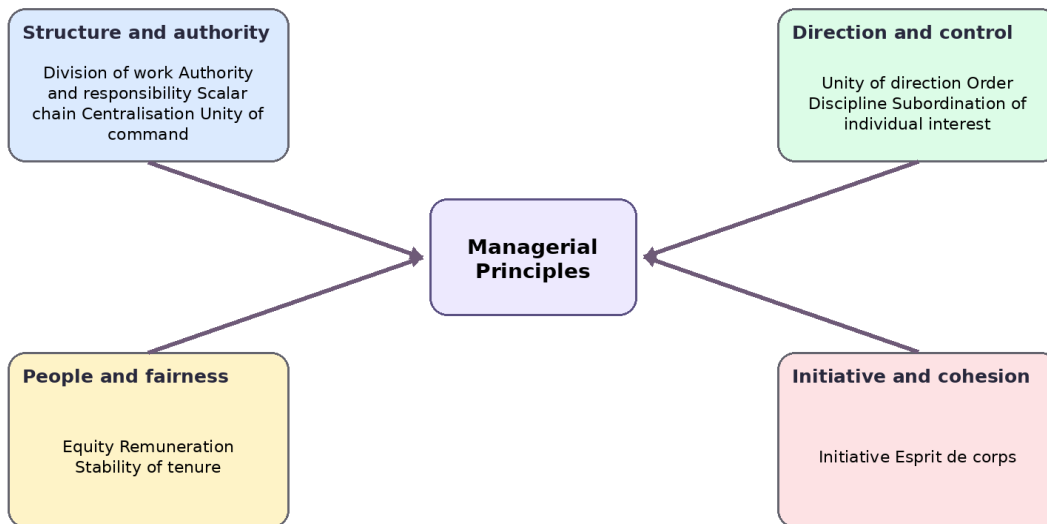
Figure 5.1 Fayol's Principles Grouped for Managerial Use**Figure 4.1: Fayol's Principles Grouped for Managerial Use****Source: Self**

Figure 4.1 organises Fayol's fourteen principles into practical clusters so that their administrative logic becomes easier to interpret in present-day settings.

- The central box indicates that managerial principles are broad guides for judgment rather than narrow rules for mechanical application.
- Structure and authority cover division of work, authority with responsibility, scalar chain, centralisation, and unity of command, all of which support administrative order.
- Direction and control groups unite in direction, order, discipline, and subordination of individual interest, highlighting coherence of purpose and conduct.
- People and fairness gather equity, remuneration, and stability of tenure, showing that effective administration has a strong human dimension.
- Initiative and cohesion include initiative and esprit de corps, reminding managers that organisational strength depends not only on control but also on energy and shared spirit.

Table 4.1: Fayol's Fourteen Principles and Their Practical Meaning**Source: Self**

Principle	Core meaning	Practical interpretation
Division of work	Specialisation of tasks	Improves focus and efficiency when balanced with coordination
Authority and responsibility	Decision rights matched with accountability	Managers should be answerable for what they are empowered to decide
Discipline	Respect for rules and standards	Order depends on clarity, consistency, and fair enforcement
Unity of command	One immediate superior	Reduces conflicting instructions and accountability confusion
Unity of direction	One plan for one objective	Activities with a shared purpose must be aligned
Subordination of individual interest	Collective purpose above narrow preference	Prevents silo behaviour and personal agendas from dominating
Remuneration	Fair compensation	Supports commitment while remaining viable for the organisation
Centralisation	Degree of concentrated authority	Decision rights should be distributed appropriately, not absolutely
Scalar chain	Line of authority	Provides administrative order while allowing practical flexibility
Order	Right place for people and things	Reduces confusion, delay, and waste
Equity	Justice with kindness	Authority is stronger when exercised fairly
Stability of tenure	Reasonable continuity in employment	Protects competence, morale, and institutional memory
Initiative	Constructive employee participation	Encourages problem-solving and ownership
Esprit de corps	Team spirit and unity	Strengthens cooperation and morale

Table 4.1 converts Fayol's classic formulation into concise managerial meaning without treating the principles as inflexible commands.

4.3 Contemporary relevance and limitations

Fayol's principles remain relevant because organisations still struggle with recurring problems: unclear responsibility, fragmented direction, poor coordination, arbitrary authority, weak discipline, and low morale. A fast-growing service firm can still fail from a lack of unity of direction. A public agency can still suffer when scalar relationships are obscure. A manufacturing plant still benefits

when authority is matched with responsibility and when order is maintained physically and administratively.

However, the principles must be interpreted in the light of changing forms of work. Matrix structures complicate unity of command; digital collaboration shortens scalar chains; professional knowledge workers expect more participation than early industrial models assumed; and innovation sometimes requires temporary fluidity rather than rigid hierarchy. The limitations of the principles arise not from their irrelevance but from literal and inflexible application.

Their strongest contemporary use lies in diagnostic reasoning. When an organisation faces confusion, duplication, role conflict, or weak accountability, Fayol's principles often help reveal what has gone wrong. They remain valuable as managerial heuristics: not perfect formulas, but disciplined guides for thought and action.

SELF-ASSESSMENT QUESTIONS – 3

Multiple Choice Questions	
11	Unity of command means that an employee should ordinarily receive instructions from: a) one superior b) a customers' committee c) all departments together d) no formal source
12	Which principle stresses fairness combined with kindness and justice? a) Scalar chain b) Equity c) Centralisation d) Order
Fill in the blanks	
13	The principle that activities with the same objective should follow one plan is unity of _____.
14	Esprit de corps refers to team _____.
True or False	
15	Fayol's principles are rigid scientific laws that must never be adapted to context.

5. MANAGEMENT PROCESS/FUNCTIONS

Management becomes operational through a sequence of interrelated functions. Different authors use slightly different labels, but the commonly accepted functions are planning, organising, staffing, directing, and controlling. These functions do not occur as isolated compartments; they overlap continuously. Yet distinguishing them analytically helps explain how managerial work converts intention into coordinated action and results.

5.1 Meaning of management process

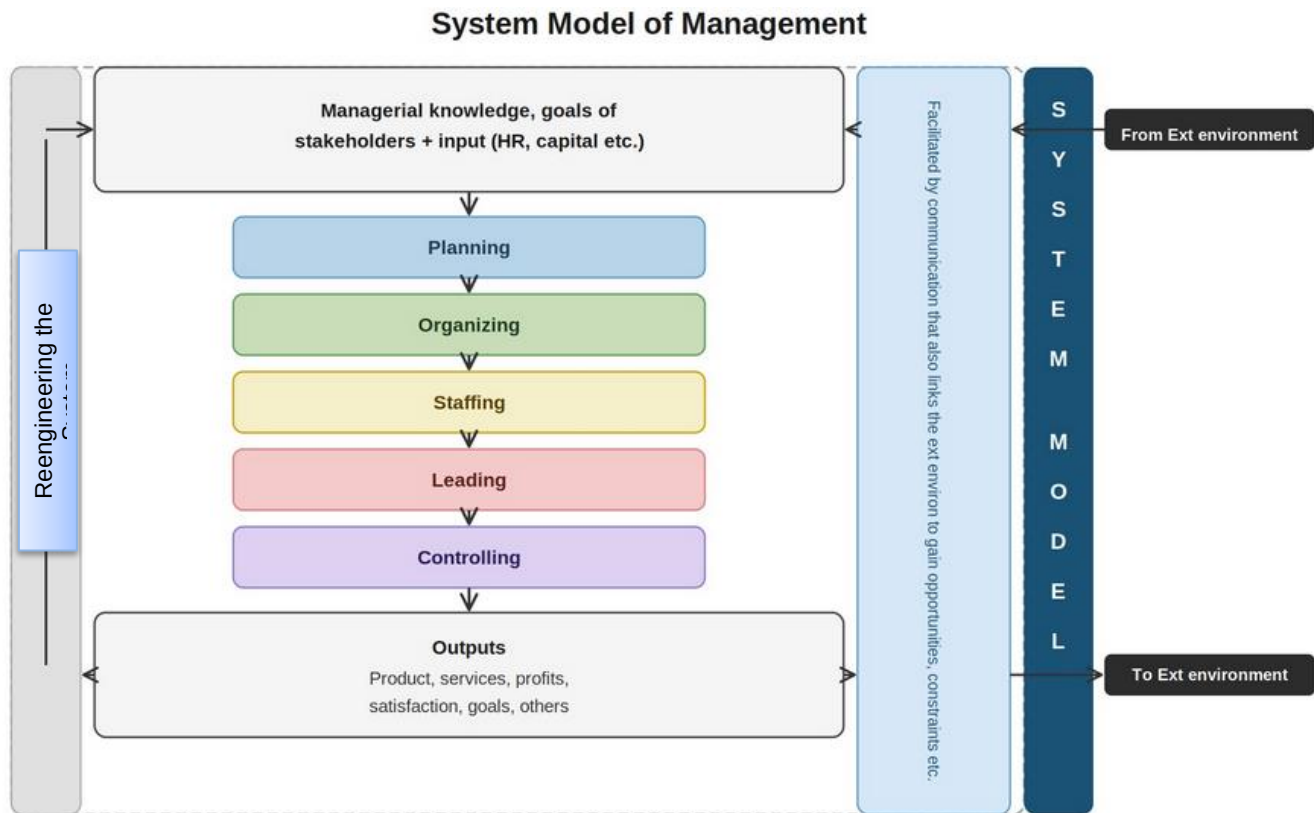
A process is a structured sequence of related activities through which inputs are transformed into intended outcomes. When management is described as a process, the emphasis shifts from static definition to organised flow. The manager does not merely hold authority; the manager plans, organises, staffs, directs, and controls in ways that connect purpose with execution. This process view is especially useful because it reveals management as a continuing cycle rather than a one-time decision.

The process perspective also clarifies why managerial failure in one area affects the others. Weak planning disturbs organising. Poor staffing undermines direction. Ineffective control leaves planning blind to reality. Because the functions are interdependent, management quality depends on how well they reinforce one another.

5.2 Planning

Planning is the starting point because it determines what is to be achieved and how. It involves setting objectives, assessing conditions, forecasting where possible, identifying alternatives, and choosing a course of action. Planning reduces drift by giving direction before resources are committed. It can be strategic, tactical, or operational depending on scope and time horizon.

Figure 5.1: Management Process and Functional Flow



Source: Self

Figure 5.1 presents management as a functional cycle in which the major managerial functions reinforce one another rather than operate in isolation.

Objectives appear at the left because management begins by clarifying what is to be achieved. Planning determines direction, priorities, and courses of action before major commitments are made.

Organising creates the framework of activities, authority relationships, and coordination channels. Staffing provides the human capability through recruitment, placement, development, and support. Directing activates the organisation through leadership, communication, motivation, and supervision.

Controlling checks whether actual results correspond with expectations and initiates corrective action where necessary.

Results and feedback appear on the right to show that performance information feeds back into revised planning and renewed managerial action.

For example, a courier company facing delivery delays may revisit route planning, role allocation, staffing levels, field supervision, and control reports together rather than treating the problem as a single isolated fault.

5.3 Organising

Once aims and broad courses are decided, work must be organised. Organising means identifying activities, grouping them, assigning duties, delegating authority, and establishing relationships through which tasks will be coordinated. It creates the structural framework within which plans can be executed.

Organising answers to practical questions: Who will do what? Which tasks belong together? What authority is required? How will coordination occur across functions? A poorly organised enterprise may possess capable people and sound intentions, yet still perform badly because roles overlap, decisions are delayed, or communication channels are confused.

5.4 Staffing

Staffing concerns the human side of organisational design. It includes estimating manpower requirements, recruitment, selection, placement, training, development, appraisal, compensation, and succession. The importance of staffing lies in a simple fact: structures and plans do not implement themselves. Competent, suitably placed, and appropriately supported people do.

Staffing is not restricted to hiring. It includes building capability over time. A growing financial-services firm may require induction systems, performance support, compliance training, and leadership pipelines. In knowledge-intensive sectors, staffing quality often becomes a decisive source of organisational strength.

5.5 Directing

Directing activates the organisation. It includes leadership, supervision, motivation, communication, and guidance during execution. Plans and structures create possibility; directing creates movement. Through directing, managers explain priorities, resolve confusion, inspire effort, handle conflict, and ensure that daily performance remains aligned with objectives.

5.6 Controlling

Controlling closes the loop by comparing actual performance with expectations and initiating corrective action where needed. It involves setting standards, measuring results, identifying deviations, analysing causes, and responding appropriately. Control is not merely post-mortem criticism. It is a learning function that prevents drift, protects resources, improves reliability, and informs future planning.

Without control, management becomes guesswork. A sales target may be missed because of weak market conditions, poor product positioning, delayed dispatch, unrealistic forecasting, or inadequate supervision. Control helps distinguish these causes so that managerial response is intelligent rather than reactive.

5.7 Interdependence among functions

The five functions are analytically distinct but practically inseparable. Planning without organising remains intention; organising without staffing remains an empty structure; staffing without directing leaves capability underused; directing without control may generate effort without dependable results; and control without planning lacks standards against which performance can be judged.

This interdependence explains why management is often described as a cycle. In practice, managers move back and forth among functions rather than completing one once and for all. A revised forecast may require fresh planning, reallocation of work, temporary staffing adjustments, tighter supervision, and changed control standards. The process view captures this movement and shows why management is continuous.

SELF-ASSESSMENT QUESTIONS – 4

Multiple Choice Questions	
16	Which function of management establishes objectives and courses of action in advance? a) Staffing b) Planning c) Controlling d) Directing
17	The function primarily concerned with recruitment, selection, placement, and development is:

	a) Organising b) Staffing c) Controlling d) Forecasting
Fill in the blanks	
18	Comparing actual performance with standards is the essence of _____.
19	Management functions are interdependent, which is why management is often described as a _____.
True or False	
20	Directing is concerned only with paperwork and has little to do with motivation or communication



6. A SYSTEM VIEW

A systems view treats the organisation as an integrated whole composed of interdependent parts linked to a wider environment. This perspective is especially valuable when managerial problems cannot be understood adequately within single departments or isolated functions. It shifts attention from fragments to relationships, from static charts to dynamic flows, and from internal operations alone to the organisation's exchange with its surroundings. It is particularly useful where organisational outcomes depend on coordination across many functions rather than on one department acting alone.

6.1 Meaning of systems view

A system is a set of connected elements that work together for a purpose. In organisational terms, these elements may include people, tasks, technology, information, authority relationships, financial resources, routines, and external stakeholders. A systems view emphasises that the behaviour of the whole cannot be understood simply by examining parts in isolation. The parts matter, but so do the relationships among them.

When applied to management, the systems view suggests that planning, organising, staffing, directing, and controlling should not be treated as unrelated administrative boxes. They form a larger pattern through which inputs are transformed into outputs. The organisation receives resources and information from the environment, processes them internally, produces goods or services, receives feedback, and adapts accordingly.

6.2 Elements of an organisational system

Most organisational systems can be analysed in terms of inputs, transformation processes, outputs, feedback, and environment. Inputs include human effort, capital, materials, data, technology, and institutional support. Transformation refers to the activities through which inputs are converted into value. In a manufacturing firm, this may involve design, procurement, production, quality assurance, and logistics. In a university, it may involve curriculum design, teaching, assessment, administration, and support services.

Outputs are the results produced by the system. These may be goods, services, learning outcomes, patient recovery, financial performance, social impact, or a combination of these.

Feedback is the information the system receives about its own performance: customer complaints, defect rates, employee turnover, audit findings, demand patterns, patient satisfaction, or financial indicators. Feedback allows correction and improvement.

The environment includes customers, suppliers, competitors, regulators, labour markets, technology trends, social expectations, and broader economic conditions. A systems view treats this environment not as a background scene but as a source of opportunity, threat, and adaptation pressure.

Figure 7.1 Open Systems View of Management

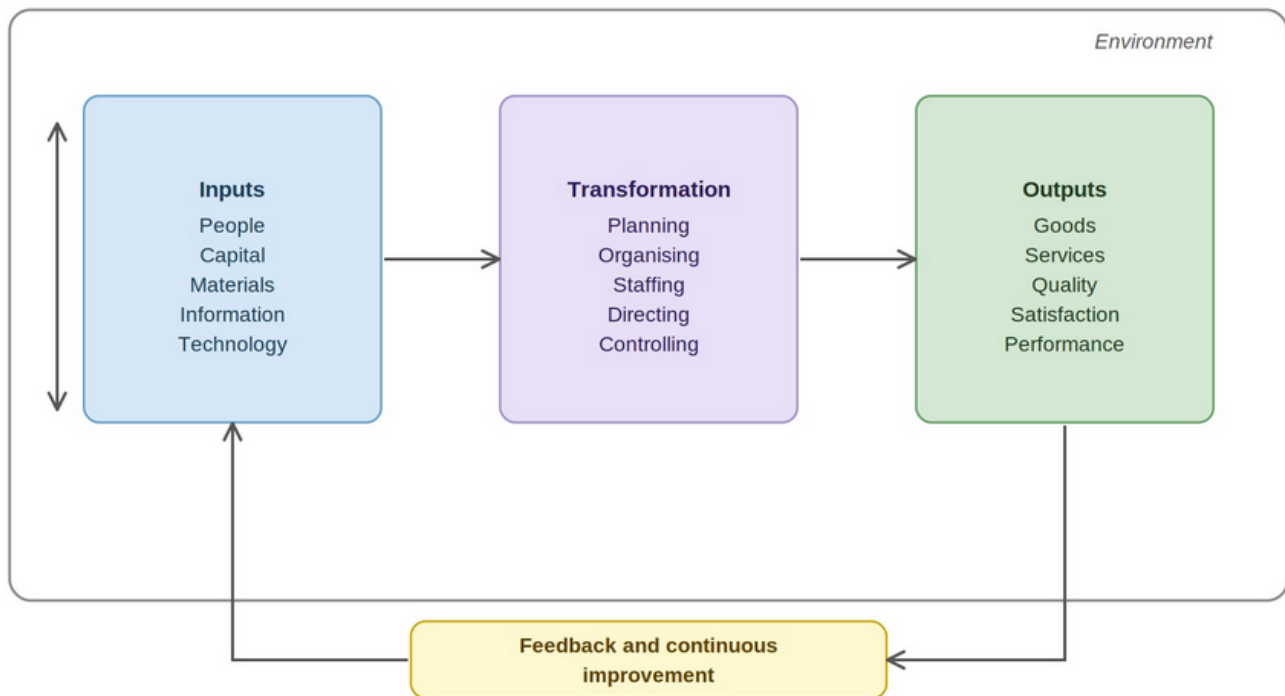


Figure 6.1: Open Systems View of Management

Source: Self

Figure 6.1 represents the organisation as an open system that receives inputs, transforms them through managerial processes, produces outputs, and then uses feedback to improve performance under environmental influence.

Inputs include people, capital, materials, information, and technology drawn from the wider environment.

Transformation refers to the internal managerial and operational processes through which these inputs are organised and converted into value.

The five functions shown inside the transformation emphasise that management itself is part of the process by which the system operates.

Outputs may include goods, services, quality, customer satisfaction, financial performance, or social impact, depending on organisational purpose.

Feedback shows that systems learn and improve through information about results, defects, delays, complaints, and emerging opportunities.

The environmental boundary reminds us that regulation, markets, technology, labour conditions, and stakeholder expectations continuously shape internal functioning.

The flow arrows show that systems are dynamic; they depend on movement, exchange, and adaptation rather than on static administrative arrangement alone.

For example, an online grocery platform depends on warehouse inventory, app data, delivery staff, customer demand, payment systems, traffic conditions, and service feedback, functioning as one connected system.

6.3 Open systems and environmental connection

Organisations are open systems because they depend on continuous exchange with their environment. They draw resources from outside, respond to external signals, and return outputs to society. A closed-system mindset is dangerous because it encourages inward-looking management. Departments may optimise their own routines while missing shifts in customer preference, regulatory expectation, technological possibility, or social legitimacy.

The open-systems perspective is especially relevant in turbulent conditions. Consider a food-delivery platform. Its performance depends not only on internal scheduling but also on restaurant readiness, rider availability, weather, traffic, digital payment systems, data analytics, labour regulation, and consumer behaviour. A disruption in one domain quickly affects the whole. The same is true for hospitals during public-health surges, manufacturers during supply-chain shocks, or banks during regulatory and technological change.

6.4 Managerial implications of the systems view

A systems view has several implications for management. First, it encourages holistic diagnosis. Instead of blaming one department too quickly, managers look for linkages among structure,

process, people, information, incentives, and environment. Secondly, it supports coordination because it reveals how local actions affect the whole. Thirdly, it strengthens continuous improvement by directing attention to feedback and process redesign rather than to isolated fault-finding.

Finally, a systems view reinforces the idea that management itself is embedded in larger social and institutional settings. Organisational effectiveness cannot be separated fully from environmental conditions, stakeholder expectations, and long-term sustainability.

SELF-ASSESSMENT QUESTIONS – 5

Multiple Choice Questions	
21	In a systems view, inputs are converted into outputs through: a) isolated personal preference b) transformation processes c) random events only d) external criticism alone
22	Feedback is important because it: a) prevents all future change b) removes the need for planning c) provides information for correction and improvement d) makes the environment irrelevant
Fill in the blanks	
23	Organisations that interact continuously with their environment are called _____ systems.
24	A systems view encourages _____ diagnosis by examining relationships among parts rather than isolated events.
True or False	
25	A department can be fully understood without considering its links to other parts of the organisation.

7. SUMMARY

In this unit, you have learned that:

- Principles of management serve as broad guides to judgment rather than inflexible rules; Fayol's principles remain useful for diagnosing authority, responsibility, direction, discipline, fairness, and coordination.
- Management functions are commonly explained as planning, organising, staffing, directing, and controlling, and these operate as an interdependent process rather than as isolated activities.
- A process view of management shows how intention is translated into organised action and how feedback from control informs renewed planning and improvement.
- A systems view treats the organisation as an open whole connected to its environment through inputs, transformation processes, outputs, feedback, and adaptation.
- Systems thinking improves managerial diagnosis because it focuses on relationships among parts, environmental dependence, and the need for continuous adjustment.
- Effective management, therefore, combines purpose, process discipline, human understanding, structural clarity, and environmental responsiveness.

8. GLOSSARY

Management	-	The process of coordinating people and resources to achieve selected objectives effectively and efficiently.
Effectiveness	-	The degree to which intended objectives are achieved.
Efficiency	-	The prudent use of resources in relation to the results obtained.
Management thought	-	The body of ideas, theories, and perspectives developed to explain and improve managerial practice.
Scientific management	-	A classical approach associated with F. W. Taylor that emphasises analysis of work, standardisation, and productivity.
Administrative management	-	An approach associated with Henri Fayol that examines management as a general administrative process.
Bureaucracy	-	A rational-legal form of organisation characterised by hierarchy, rules, defined roles, and impersonal administration.
Human relations	-	A perspective that stresses the importance of social relations, morale, and informal organisation in work settings.
Behavioural science	-	The use of psychology and related social sciences to explain organisational behaviour, motivation, and leadership.
Principles of management	-	Broad guides derived from experience and analysis that assist managerial judgement.
Unity of command	-	The idea that an individual should ordinarily receive direction from one superior.
Unity of direction	-	The principle that activities with the same objective should be guided by one plan and one head.
Management process	-	The sequence of interrelated functions through which management converts objectives into coordinated action.
Planning	-	Deciding objectives and courses of action in advance.
Organising	-	Arranging activities, authority, and relationships so that work can be carried out effectively.
Staffing	-	Providing and developing the human resources needed for organisational performance.

Directing	-	Guiding, motivating, supervising, and communicating during the execution of work.
Controlling	-	Comparing actual performance with standards and taking corrective action where needed.
System	-	A set of interrelated parts working together towards a purpose.
Open system	-	A system that interacts continuously with its external environment.
Feedback	-	Information about performance that is used for correction, learning, and adaptation.
Environment	-	The external conditions, actors, and forces that influence organisational functioning.
Administrative management	-	A classical view associated with Henri Fayol that examines the functions and principles of management at the organisational level.
Scalar chain	-	The formal line of authority running from higher to lower positions in an organisation.
Esprit de corps	-	A sense of team spirit and collective unity that strengthens cooperation.
Subsystem	-	A smaller component system within a larger organisational whole.
Contingency approach	-	The view that the suitability of managerial methods depends on the specific situation.

9. TERMINAL QUESTIONS

Short Answer Type Questions

1. Define management and explain why it is both an economic and a social process.
2. Discuss the importance of management with suitable organisational illustrations.
3. Explain the major stages in the evolution of management thought.
4. Analyse Fayol's principles of management and comment on their practical value.
5. Explain management as a process and show how its major functions are interrelated.

Long Answer Questions

1. Critically examine the meaning and importance of management. Why does management remain essential in both business and non-business organisations?
2. Trace the evolution of management thought from the classical school to the systems and contingency perspectives. Assess the main contribution of each stage.
3. Discuss the principles of management in detail. To what extent do Fayol's principles remain relevant in contemporary organisations?
4. Explain management as a process comprising planning, organising, staffing, directing, and controlling. How does this process convert objectives into results?
5. Examine the systems view of management. Show how inputs, transformation, outputs, feedback, and environment influence organisational performance.

10. ANSWERS

10.1. Self Assessment Questions

1. (b) the process of coordinating people and resources to achieve objectives
2. (c) It aligns effort, resources, and direction for organisational performance
3. efficiency
4. collective
5. False
6. (c) F. W. Taylor
7. (b) informal groups, morale, and social factors
8. administrative
9. systems
10. False
11. (a) one superior
12. (b) Equity
13. direction
14. spirit
15. False
16. (b) Planning
17. (b) Staffing
18. controlling
19. process
20. False
21. (b) transformation processes
22. (c) provides information for correction and improvement
23. open
24. holistic
25. False

10.2. Terminal Questions

Short Answer Type Questions

Answer 1: Management is the process of coordinating people, resources, time, technology, and effort in order to achieve selected objectives effectively and efficiently. It is an economic process because it involves the careful use of scarce resources such as money, materials, labour, and information so that waste is reduced and value is created. At the same time, it is a social process because work is carried out through people, relationships, authority, communication, cooperation, and motivation. In practice, management always combines resource discipline with human interaction, collective purpose, and organisational coordination.

Answer 2: Management is important because it gives direction to collective effort, ensures better use of resources, coordinates specialised activities, and helps organisations respond to change. Without management, even capable people and adequate funds may produce confusion rather than results. Its importance can be seen in a hospital where patient care depends on scheduling, staffing, equipment use, and communication across departments. It is equally visible in a manufacturing firm where procurement, production, quality, and distribution must be aligned. In Indian settings such as banks, transport corporations, and start-ups, management supports continuity, accountability, and adaptation.

Answer 3: The evolution of management thought passed through several major stages. The classical stage focused on efficiency, structure, standardisation, and authority, especially through Taylor, Fayol, and Weber. The human relations stage shifted attention to morale, informal groups, leadership, and cooperation after researchers recognised that workers are not motivated by economic factors alone. Behavioural perspectives deepened this by drawing on psychology and social science to explain motivation and organisational behaviour. Later, the systems perspective viewed the organisation as an interrelated whole, while the contingency perspective argued that managerial methods must suit the specific situation rather than follow one universal formula.

Answer 4: Fayol's principles of management include ideas such as division of work, authority with responsibility, discipline, unity of command, unity of direction, scalar chain, equity, initiative, order, and esprit de corps. Their practical value lies in helping managers think clearly about recurring administrative issues such as confusion in reporting, poor coordination, unfair treatment, weak responsibility, and low morale. These principles are not rigid laws but broad guides for judgment.

Even today, they remain useful in diagnosing organisational problems, though they must be applied flexibly in modern contexts such as digital teams, matrix structures, and knowledge-based work.

Answer 5: Management is called a process because it consists of a continuing sequence of related functions through which objectives are converted into organised results. Planning decides goals and courses of action in advance. Organising arranges activities, authority, and relationships. Staffing provides the required human capability through recruitment, placement, and development. Directing activates performance through leadership, communication, supervision, and motivation. Controlling compares actual performance with planned standards and initiates corrective action. These functions are interrelated because weakness in one affects the others. Planning without organising remains incomplete, and controlling without planning has no standards against which performance can be judged.

Answers to Long Questions

Answer 1: Management refers to the process through which people and resources are coordinated to achieve selected objectives effectively and efficiently. Its meaning goes beyond mere supervision or command. It includes planning, organising, staffing, directing, and controlling so that collective effort becomes purposeful and disciplined. Management is important because organisations do not produce reliable results simply by bringing people together. They require direction, coordination, accountability, communication, and review.

Management remains essential in business organisations because competition, cost control, customer satisfaction, quality, and innovation all depend on sound managerial decisions. It is equally essential in non-business organisations such as hospitals, universities, NGOs, and public departments, where goals may not be profit-oriented but still require organised effort. A hospital must coordinate doctors, nurses, equipment, and emergency response; a university must manage academic schedules, faculty deployment, administration, and evaluation. Thus, management remains universally necessary because collective objectives in any organised setting require structure, judgement, adaptation, and responsible use of resources.

Answer 2: Management thought evolved in response to changing organisational needs. The classical school emerged during industrial expansion, when efficiency, order, and authority became central concerns. Scientific management, associated with F. W. Taylor, contributed to

work analysis, standardisation, and productivity improvement. Administrative management, associated with Henri Fayol, explained management as a general process and offered broad principles for administration. Max Weber's bureaucratic model added clarity regarding hierarchy, rules, defined roles, and rational authority.

Later, the human relations and behavioural perspectives corrected the narrowness of classical thinking by showing that morale, informal groups, communication, leadership, and motivation strongly affect performance. These approaches made management more sensitive to human behaviour and workplace relationships. The systems perspective then viewed the organisation as an interconnected whole linked with its environment. Finally, the contingency perspective argued that no single method is universally best; managerial action must suit context, technology, environment, and task. Each stage made a distinct contribution: classical thought gave structure, behavioural thought gave human insight, and systems-contingency thinking gave contextual and holistic understanding.

Answer 3: The principles of management are broad guides developed from experience and observation to assist managerial judgement. Fayol's fourteen principles include division of work, authority and responsibility, discipline, unity of command, unity of direction, subordination of individual interest to general interest, remuneration, centralisation, scalar chain, order, equity, stability of tenure, initiative, and esprit de corps. Together, these principles address how work should be structured, how authority should operate, how fairness should be maintained, and how coordination and morale can be strengthened.

Their contemporary relevance remains significant because modern organisations still face problems of unclear reporting, fragmented direction, weak discipline, inequity, and poor coordination. For instance, unity of direction remains important when departments must work towards one common objective, and equity remains crucial in building trust and commitment. However, these principles cannot be applied mechanically. Matrix structures complicate unity of command, digital collaboration alters scalar relationships, and knowledge workers often expect participation rather than rigid control. Therefore, Fayol's principles remain relevant not as inflexible laws, but as practical heuristics that help managers interpret and address recurring administrative problems in changing organisational settings.

Answer 4: Management is often explained as a process because it works through a structured sequence of interrelated functions. Planning comes first and involves deciding objectives, priorities, forecasts, and courses of action. Organising follows by grouping activities, assigning duties, establishing authority, and building the framework within which work will occur. Staffing provides the human capability needed for implementation through recruitment, selection, placement, training, and development. Directing activates effort by using leadership, communication, motivation, and supervision to ensure that people move in the intended direction. Controlling closes the loop by setting standards, measuring performance, identifying deviations, and initiating corrective action.

This process converts objectives into results because each function supports execution in a practical way. Objectives remain only intentions unless planning makes them clear, organising allocates responsibility, staffing supplies competence, directing mobilises effort, and controlling checks whether results match expectations. The functions are therefore not isolated stages but mutually reinforcing elements of managerial action. When a company revises sales goals, it may also need to reorganise territories, recruit staff, improve supervision, and monitor performance data. In this way, the management process continuously translates intention into coordinated action and measurable outcomes.

Answer 5: The systems view of management treats an organisation as an open and interrelated whole rather than as a collection of isolated departments. Under this view, organisational performance depends on the way different parts work together and respond to environmental conditions. Inputs include people, money, materials, technology, information, and time. These inputs enter transformation processes, where managerial and operational activities convert them into outputs such as goods, services, decisions, or social value. Outputs are then evaluated in relation to objectives, stakeholder expectations, and environmental demands.

Feedback is essential because it provides information about performance and allows correction, learning, and improvement. If quality declines, costs rise, or service delays occur, feedback helps managers identify the cause and adjust the system. The environment also plays a decisive role because organisations depend on markets, regulation, technology, suppliers, labour conditions, and social expectations. A change in any external factor can affect the internal system. Thus, the systems view improves organisational performance by encouraging holistic diagnosis,

interdepartmental coordination, continuous adaptation, and recognition of the organisation's dependence on both internal linkages and external conditions.



11. CASE STUDY

Prerna NutriFoods Private Limited began as a small millet-based snacks venture in Mysuru, founded by two food technologists and a retail distributor who believed that regional health foods could be packaged for urban markets without losing local credibility. In its first year, the company operated from a single rented production unit and sold mainly through speciality stores, weekend exhibitions, and online orders generated through social media. Demand was encouraging, but operations remained informal. Purchase decisions were made over phone calls, recipes were modified directly on the shop floor, dispatch depended on whichever vehicle was available, and the founders personally handled quality complaints.

Within three years, growth accelerated. A supermarket chain agreed to stock selected products across Karnataka; an e-commerce marketplace offered national listing; and a development finance institution approved a modest term loan for machinery expansion. The firm hired production supervisors, sales executives, and a quality officer. Yet expansion exposed organisational weaknesses. Sales teams promised delivery dates without consulting production. Procurement bought raw millet from whichever trader quoted the lowest rate, even when quality varied sharply. Inventory records were maintained in spreadsheets that different departments updated differently. New recruits were energetic but unsure about reporting relationships. The founders still approved most operational decisions, which caused delays when they travelled for investor meetings or trade fairs.

Tensions surfaced during the festive season. A large distributor campaign generated orders far beyond usual volume. Production schedules changed almost daily. Packaging material ran short because procurement had not coordinated with revised forecasts. Some batches were reworked due to inconsistency in seasoning. Customer-care complaints rose because dispatch teams had not received accurate order status updates. Meanwhile, the founders disagreed on priorities. One wanted aggressive expansion into new cities; another insisted that systems should be stabilised first; the third was concerned about rising working-capital pressure and retailer payment cycles.

A consultant invited to review the company observed that the problem was not a lack of effort. The firm had strong products, visible market potential, and committed employees. The weakness lay in management. Objectives had not been translated into coordinated plans. Responsibilities

existed, but authority boundaries were blurred. Training was uneven. Review meetings focused on immediate firefighting rather than process discipline. The consultant also noted that departments behaved as separate islands. Procurement optimised purchase price, production worried about daily output, sales pursued volume, and finance concentrated on cash conservation, but no one integrated these concerns into a single system view of the business.

The founders now face a strategic choice. Should they continue chasing rapid growth and hope that operational order will gradually emerge, or should they redesign managerial processes first—even if expansion slows for a period? Their decision will shape whether Prerna NutriFoods becomes a resilient enterprise or remains a promising but unstable venture.

12.1 Case Questions

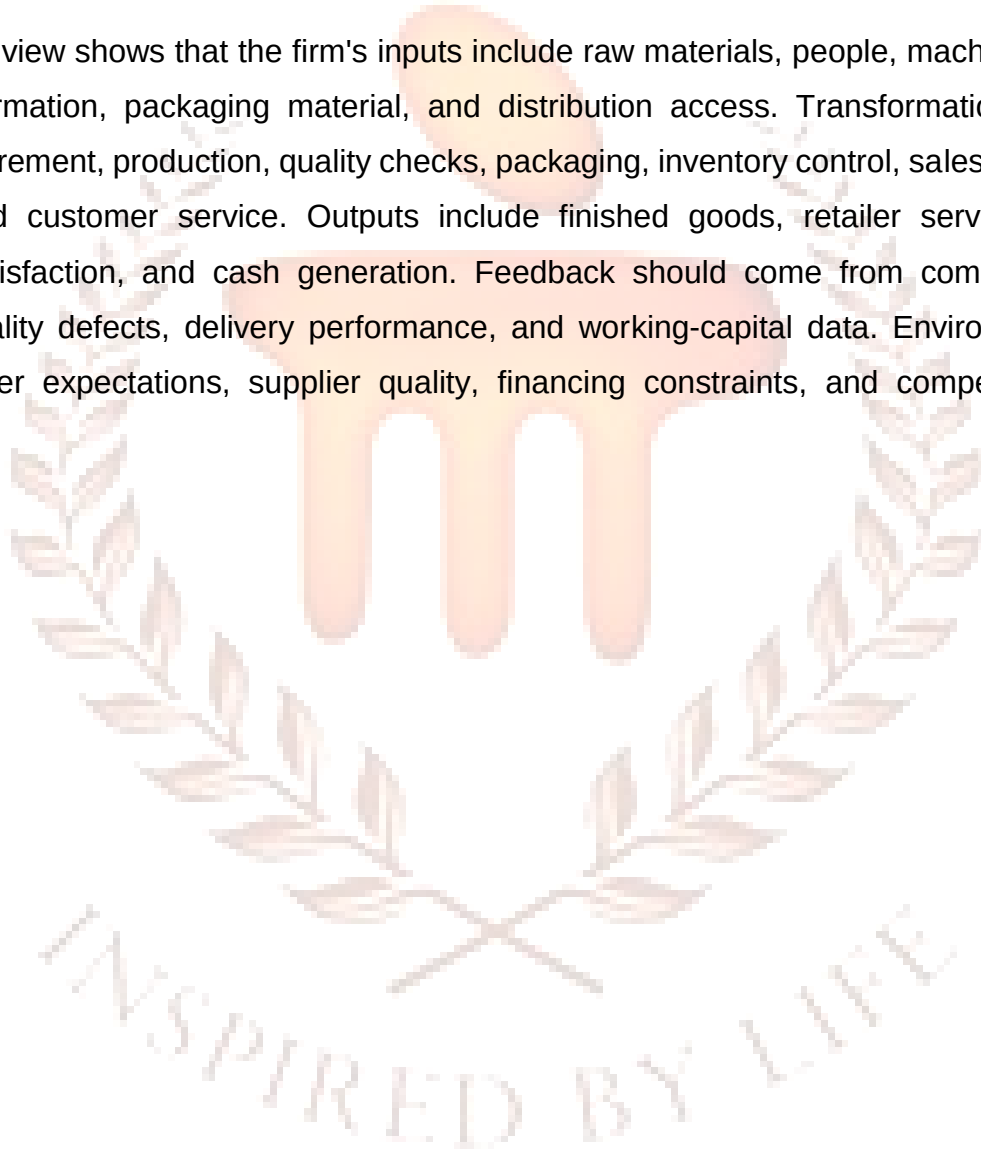
1. Identify the major managerial problems in the case and classify them under management process/functions wherever possible.
2. Which schools in the evolution of management thought help explain the weaknesses observed in the firm? Give reasons.
3. Apply any four principles of management to Prerna NutriFoods and show how they could improve coordination and performance.
4. Explain the case through a systems view. What inputs, processes, outputs, feedback mechanisms, and environmental links require attention?

12.2 Answers to Case Questions

1. The major managerial problems include weak planning, poor coordination between sales, production, procurement, and finance, unclear authority and reporting relationships, inadequate staffing and training support, and weak control over inventory, quality, and order status. These correspond respectively to failures in planning, organising, staffing, directing, and controlling.
2. The classical school helps explain the need for clearer process design, authority, and coordination; Fayol's administrative view is particularly relevant because roles, direction, and responsibility are weak. Behavioural insights help explain the uncertainty of new recruits and the consequences of poor communication and leadership support. Systems thinking explains why local optimisation by departments is damaging the performance of the whole organisation.

3. Four applicable principles are unity of direction, authority with responsibility, order, and initiative. Unity of direction would align sales, production, and procurement around one coordinated plan. Authority with responsibility would clarify who can approve schedules, purchases, and dispatch decisions. Order would improve material arrangement, data discipline, and role placement. The initiative would allow supervisors to solve local problems constructively within clear limits rather than waiting for founder approval on every issue.

4. A systems view shows that the firm's inputs include raw materials, people, machinery, capital, demand information, packaging material, and distribution access. Transformation processes include procurement, production, quality checks, packaging, inventory control, sales coordination, dispatch, and customer service. Outputs include finished goods, retailer service reliability, customer satisfaction, and cash generation. Feedback should come from complaints, stock variance, quality defects, delivery performance, and working-capital data. Environmental links include retailer expectations, supplier quality, financing constraints, and competitive market demand.



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